



Lecture: Introduction to E-Commerce

1. What is E-Commerce?

E-Commerce (Electronic Commerce) refers to buying and selling goods or services using the internet, along with the transfer of money and data.

Simple Example:
Buying a product from **Daraz** or **Amazon**

2. History & Evolution of E-Commerce

- **1960s–70s:** Electronic Data Interchange (EDI) introduced
- **1990s:** Internet commercialization (birth of online shopping)
- **1995:** Launch of **Amazon** and **eBay**
- **2000s:** Growth of payment gateways & online stores
- **2010s–Present:** Mobile commerce, social commerce, AI personalization

In Pakistan: Growth led by **Daraz**, **OLX**

3. Types of E-Commerce Business Models

1. B2C (Business to Consumer)

- Business sells directly to consumers
- Example: **Daraz**

2. B2B (Business to Business)

- Business sells to another business
- Example: Alibaba wholesale model

3. C2C (Consumer to Consumer)

- Consumers sell to other consumers
- Example: **OLX**

4. C2B (Consumer to Business)

- Individuals offer services/products to businesses
 - Example: Freelancers selling on platforms
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4. E-Commerce Business Models (Operational)

- **Inventory-based model** (own stock)
 - **Dropshipping model** (no inventory)
 - **Marketplace model** (multi-vendor platform)
 - **Subscription model** (monthly recurring sales)
 - **Print-on-demand**
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5. Step-by-Step Guide to Start an E-Commerce Business

Step 1: Product Hunting & Market Research

- Identify trending products
 - Analyze demand, competition, pricing
 - Tools: Google Trends, social media insights
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Step 2: Choose Business Model

- Dropshipping vs Inventory vs Marketplace
 - Consider budget, risk, and scalability
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Step 3: Branding & Positioning

- Brand name, logo, identity
 - Unique Selling Proposition (USP)
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Step 4: Platform Selection

- Build store using:
 - **Shopify**
 - **WooCommerce**
 - Or sell on marketplaces like **Daraz**

Step 5: Website Development

- Product pages
- Landing page optimization
- Mobile-friendly design
- Fast loading speed

Step 6: Payment Gateway Integration

- Cash on Delivery (popular in Pakistan)
- Online payments (cards, wallets)

Step 7: Logistics & Delivery

- Courier services (TCS, Leopards, etc.)
- Order tracking system

Step 8: Digital Marketing Strategy

This connects directly to your course topics:

- **SEO** → Rank product pages
- **SMM** → Promote via Facebook/Instagram
- **SEM** → Run paid ads
- **Email Marketing** → Retarget customers

6. Scaling an E-Commerce Business

1. Optimize Conversion Rate (CRO)

- Improve product pages
- A/B testing

2. Paid Advertising

- Facebook Ads
- Google Ads

3. Retargeting

- Show ads to previous visitors

4. Customer Retention

- Loyalty programs
- Email marketing

5. Expand Product Line

- Upselling & cross-selling
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7. Key Metrics in E-Commerce

- Conversion Rate
 - Customer Acquisition Cost (CAC)
 - Customer Lifetime Value (CLV)
 - Average Order Value (AOV)
 - Cart Abandonment Rate
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8. Challenges in E-Commerce

- High competition
 - Trust issues (especially in Pakistan)
 - Logistics problems
 - Payment fraud
 - Return/refund management
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9. Emerging Trends in E-Commerce

- Mobile Commerce (M-Commerce)
- Social Commerce (selling via Instagram, TikTok)
- AI & Personalization
- Voice Commerce

- Augmented Reality (AR shopping)
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11. Summary

E-Commerce is:

- A fast-growing digital business model
 - Highly dependent on digital marketing
 - Requires strategy, execution, and continuous optimization
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